

Indian stock market matures, as it becomes better regulated, more institutionalized and more competitive, it is but natural that large-cap mutual fund managers will struggle to beat the market. Hence, for most investors, large-cap ETFs with low fees will become a cost-efficient way to participate in the growth of India's vibrant economy.

Although active management of large-cap stocks is no longer an assured way to generate market-beating returns in large-cap Indian stocks, in the small-cap space India has several talented fund managers who consistently deliver outstanding returns by investing in upcoming companies. These fund managers are able to find companies that are not only good (i.e. companies where the promoter allocates capital sensibly) but, just as importantly, are also clean (i.e. companies where the financial statements are a true and fair reflection of the underlying state of the business). Ambit Capital's Good & Clean fund focuses on investing in such companies, and three years ago I invested in this fund.

These three contrasting approaches to equity investing—ETFs for large-caps; a low-cost, conservative strategy like the Coffee Can Portfolio for large and mid-caps; and careful stock selection for small-midcaps—should form the bedrock of any growth-oriented Indian portfolio. To the extent that all of us need to set aside some money for a rainy day, I strongly believe it should be done by investing in government bonds and conservatively managed liquid funds. When it comes to my 'rainy day' corpus, life has taught me that I need to focus on liquidity and complete safety of funds.

Saurabh Mukherjea, Rakshit Ranjan and Pranab Uniyal have worked in Ambit Capital for almost a decade now. I have seen them grow as finance professionals. It has been my privilege to see their wealth management philosophy evolve through intense brainstorming sessions at Ambit and then see them put their ideas to work in front of India's smartest investors. This elegantly constructed book is their attempt to share their wealth management approach with you. It uses minimal jargon and is packed with case studies that almost everyone will identify with. I hope you enjoy reading this book and make even better returns from your portfolio.